Samsung E&A (028050 KS)

Order target already exceeded, earnings sailing smoothly

Do-yub Kim
Construction/Machinery
doyub.kim@yuantakorea.com

BUY (M)

Target price	W73,000 (M)
Previous target price	W73,000
Current price (Oct 15)	W42,200
Upside potential	73%

Market cap (Wbn)	8,271
Shares outstanding	196,000,000
Avg daily T/O (2M, Wbn)	85
Avg daily volume (2M, shrs)	1,780,303
52-week high/low (won)	64,400 / 23,250
Foreign ownership (%)	37.80%
Dividend yield (%)	3.28%
Major shareholders	Samsung SDI & others

Stock performance

(%)	1M	3M	12M
Absolute	(16.9)	(0.8)	49.1
Relative	(0.9)	30.1	(1.8)
Abs (US$)	(16.0)	9.5	57.6

3Q26 preview: OP likely meets consensus

The company likely posted 3Q26 consolidated revenue of W2.27tn (+8.1% YoY) and OP of W252.5bn (+43.0 YoY, OPM 9.0%), in line with consensus of W2.72tn and W247.1bn, respectively. We see no one-off factors in COGS or SG&A expenses, and believe the company can achieve its full-year guidance (revenue W10tn, OP W800bn). As foreign currency-denominated revenue accounts for less than half of the total and cross-currencies are hedged via FX forwards, the impact of FX changes should be limited.

Order guidance already exceeded, but more to come

Following the award of the Saudi SAN-7 fertilizer plant contract in September ($3.5bn, about W4.7tn), we believe cumulative orders through 3Q26 have already surpassed the company's full-year order guidance of W12tn. Regarding its affiliate order guidance, which was raised in 2Q26 (W3tn→W7tn), the remaining W4tn will likely be recognized across 3Q-4Q26.

In 4Q26, projects totaling about $6-7bn will likely be in play, including Mexico's Mexinol methanol ($2-2.5bn) project, Saudi Arabia's Khafji gas ($2bn) project, and Qatar's urea fertilizer ($2-2.5bn) project. The remaining W4tn of the captive order guidance revised up in 2Q26 (W3tn→W7tn) will likely be recognized across 3Q-4Q26. Indonesia's Abadi LNG project (INPEX; expected order size of the company's share: about $3.5bn) and the US Louisiana SAF project (about $2.5bn), both currently in the FEED stage, are expected to generate EPC orders in 1H27 after FEED completion between late this year and early next year. In addition, for Mexico's small- to mid-sized LNG (URSUS) project, the company is pursuing a FEED contract after completing pre-FEED. If it wins the FEED contract in 2H26, the EPC award will likely take place in 2H27-1H28.

Maintain BUY and target price of W73,000

We maintain BUY and our target price of W73,000. We expect advanced industrial business orders and revenue to continue growing over the next two years on expanding affiliate order volume.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	2,795	40.1	7.1	2,743	1.9
OP	252	43.0	-7.5	247	2.0
Pre-tax net profit	287	53.6	16.9	263	9.0
Net profit, CI	217	53.3	20.0	202	7.8
OPM (%)	9.0	+0.2 %pt	-1.5 %pt	9.0	0
NPM (%)	7.8	+0.7 %pt	+0.9 %pt	7.4	+0.4 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	9,967	9,029	10,787	13,122
OP	972	792	1,017	1,219
Net profit, CI	757	617	735	945
P/E (x)	6.0	7.3	11.3	8.8
P/B (x)	1.1	1.0	1.5	1.3
EV/EBITDA (x)	1.5	1.8	4.1	2.8
ROE (%)	19.6	13.8	14.5	16.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Samsung E&A: earnings forecast											(Wbn)
	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**2,098.0**	**2,178.0**	**1,995.6**	**2,757.2**	**2,267.4**	**2,609.3**	**2,795.4**	**3,115.2**	**9,028.8**	**10,787.3**	**13,122.5**
YoY (%)	-12.0%	-18.9%	-13.9%	6.9%	8.1%	19.8%	40.1%	13.0%	-9.4%	19.5%	21.6%
Hydrocarbon	1,091.3	1,305.2	1,266.0	1,488.8	1,129.9	1,073.2	1,122.3	1,220.9	5,151.3	4,546.3	5,085.8
Advanced tech	768.9	589.4	402.4	770.5	574.2	838.0	967.1	1,151.8	2,531.2	3,531.1	5,270.4
New energy	237.8	283.4	327.2	497.9	563.3	698.1	705.9	742.5	1,346.3	2,709.8	2,766.3
Gross profit	**294.0**	**314.1**	**308.7**	**417.1**	**343.8**	**412.3**	**402.0**	**468.5**	**1,333.9**	**1,626.6**	**1,917.2**
YoY (%)	-12.7%	-20.7%	-7.5%	-5.7%	16.9%	31.3%	30.2%	12.3%	-11.6%	21.9%	17.9%
Hydrocarbon	131.8	179.7	184.3	243.5	180.9	159.8	158.0	180.9	739.3	679.6	714.9
Advanced tech	117.2	72.5	39.5	125.2	79.7	144.4	140.8	175.5	354.4	540.4	793.9
New energy	45.0	61.9	84.9	48.4	83.2	108.1	103.3	112.0	240.2	406.6	408.3
OP	**157.3**	**180.8**	**176.5**	**277.4**	**188.2**	**273.1**	**252.5**	**303.3**	**792.1**	**1,017.1**	**1,219.5**
YoY (%)	-24.9%	-31.1%	-13.5%	-6.2%	19.6%	51.0%	43.0%	9.3%	-18.5%	28.4%	19.9%
Pretax profit	**204.6**	**203.4**	**187.0**	**235.4**	**208.8**	**245.7**	**287.2**	**238.6**	**830.4**	**980.3**	**1,257.1**
YoY (%)	-6.8%	-30.6%	-15.0%	37.4%	2.0%	20.8%	53.6%	1.3%	-8.1%	18.0%	28.2%
Net profit, CI	**150.6**	**140.7**	**141.9**	**184.3**	**155.6**	**181.3**	**217.5**	**180.4**	**617.5**	**734.7**	**944.5**
YoY (%)	-7.0%	-55.4%	-13.3%	59.0%	3.3%	28.9%	53.3%	-2.1%	-18.4%	19.0%	28.6%
Margin											
GPM	**14.0%**	**14.4%**	**15.5%**	**15.1%**	**15.2%**	**15.8%**	**14.4%**	**15.0%**	**14.8%**	**15.1%**	**14.6%**
Hydrocarbon	12.1%	13.8%	14.6%	16.4%	16.0%	14.9%	14.1%	14.8%	14.4%	14.9%	14.1%
Advanced tech	15.2%	12.3%	9.8%	16.2%	13.9%	17.2%	14.6%	15.2%	14.0%	15.3%	15.1%
New energy	18.9%	21.8%	25.9%	9.7%	14.8%	15.5%	14.6%	15.1%	17.8%	15.0%	14.8%
OPM	**7.5%**	**8.3%**	**8.8%**	**10.1%**	**8.3%**	**10.5%**	**9.0%**	**9.7%**	**8.8%**	**9.4%**	**9.3%**
Pretax margin	9.8%	9.3%	9.4%	8.5%	9.2%	9.4%	10.3%	7.7%	9.2%	9.1%	9.6%
NPM, CI	**7.2%**	**6.5%**	**7.1%**	**6.7%**	**6.9%**	**6.9%**	**7.8%**	**5.8%**	**6.8%**	**6.8%**	**7.2%**

Note: CI = controlling interest
Source: company data, Yuanta Securities

3Q26 OP likely in line with consensus (Wbn)

	3Q26E	3Q25	(% YoY)	2Q26	(% QoQ)	Consen (1M)	Diff (%)
Sales	2,795.4	1,995.6	40.1	2,609.3	7.1	2,721.5	2.7
OP	252.5	176.5	43.0	273.1	-7.5	247.1	2.2
Pretax profit	287.2	187.0	53.6	245.7	16.9	265.9	8.0
Net profit, CI	217.5	141.9	53.3	181.3	20.0	205.8	5.7
OPM (%)	9.0%	8.8%		10.5%		9.1%	
Pretax margin (%)	10.3%	9.4%		9.4%		9.8%	
NPM, CI (%)	7.8%	7.1%		6.9%		7.6%	

Note: CI = controlling interest
Source: company data, Yuanta Securities

Samsung E&A earnings estimate comparison: Yuanta Securities vs consensus (Wbn)

	2026E			2027E		
	Yuanta	Consensus	Difference (%)	Yuanta	Consensus	Difference (%)
Sales	**10,787.3**	10,691.1	0.9	**13,122.5**	12,922.2	1.5
OP	**1,017.1**	987.3	3.0	**1,219.5**	1,193.2	2.2
Pretax profit	**980.3**	1,006.5	-2.6	**1,257.1**	1,256.9	0.0
Net profit, CI	**734.7**	738.6	-0.5	**944.5**	916.0	3.1
OPM (%)	**9.4%**	9.2%		**9.3%**	9.2%	
Pretax margin (%)	**9.1%**	9.4%		**9.6%**	9.7%	
NPM, CI (%)	**6.8%**	6.9%		**7.2%**	7.1%	

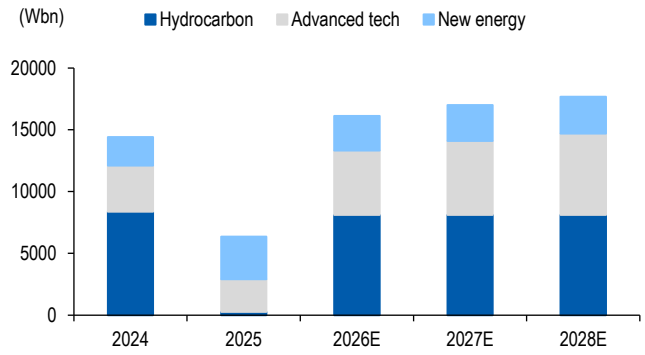
Note: CI = controlling interest
Source: FnGuide Quantiwise, Yuanta Securities

Samsung E&A: earnings estimate revision (Wbn)

	Old			New			Difference (%)		
	3Q26E	2026E	2027E	3Q26E	2026E	2027E	3Q26E	2026E	2027E
Sales	2,581.4	10,794.3	12,850.7	2,795.4	10,787.3	13,122.5	8.3%	-0.1%	2.1%
OP	214.9	977.6	1,162.7	252.5	1,017.1	1,219.5	17.5%	4.0%	4.9%
OPM	8.3%	9.1%	9.0%	9.0%	9.4%	9.3%	0.7%p	0.4%p	0.2%p
Pretax profit	249.2	940.0	1,198.3	287.2	980.3	1,257.1	15.3%	4.3%	4.9%
Net profit, CI	188.7	704.3	900.3	217.5	734.7	944.5	15.3%	4.3%	4.9%

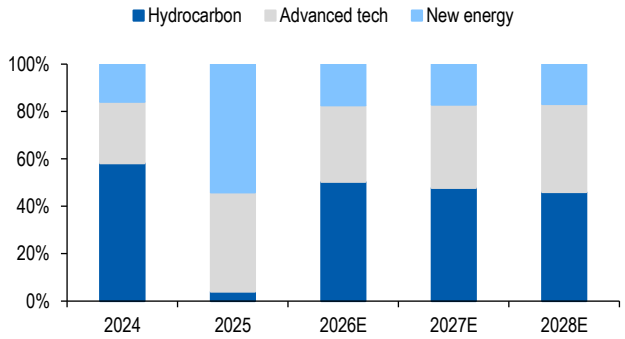
Note: CI = controlling interest
Source: Yuanta Securities

Samsung E&A: new order by business



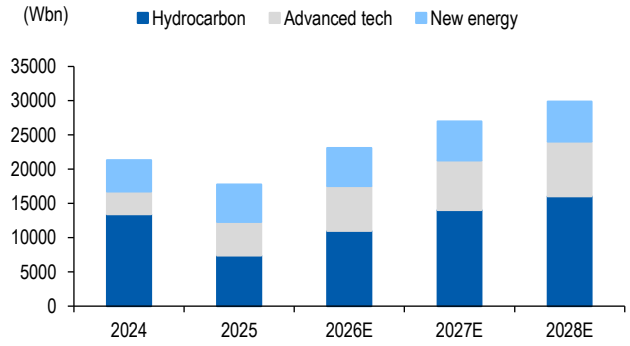
Source: company data, Yuanta Securities

Samsung E&A: new order share by business



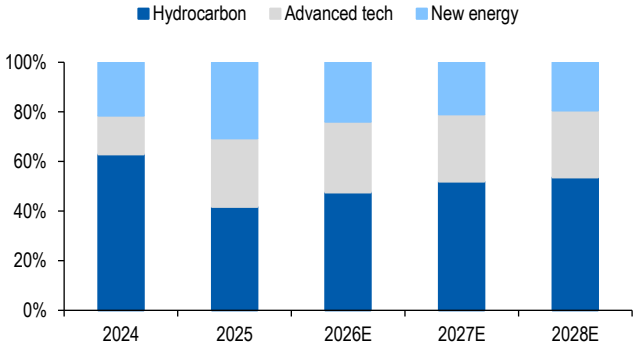
Source: company data, Yuanta Securities

Samsung E&A: order backlog by business



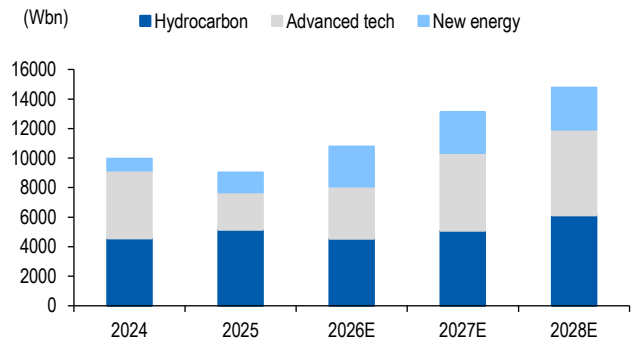
Source: company data, Yuanta Securities

Samsung E&A: order backlog share by business



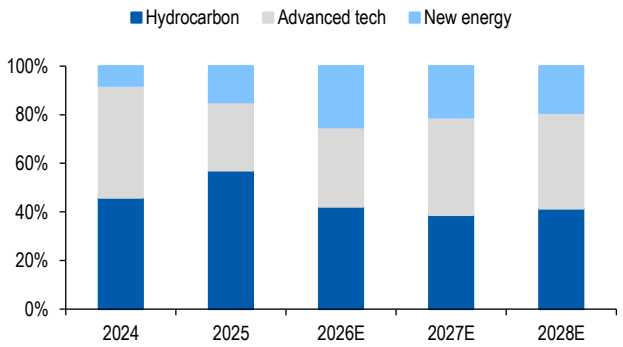
Source: company data, Yuanta Securities

Samsung E&A: sales breakdown by business



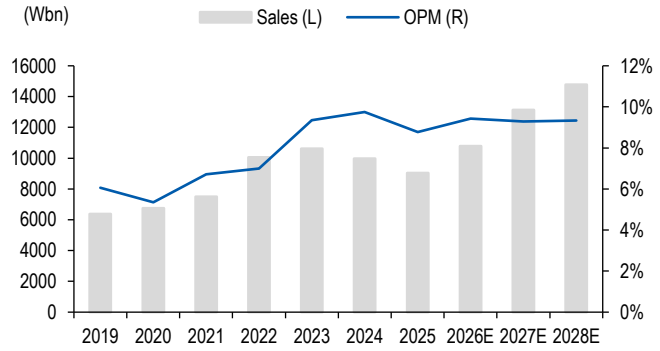
Source: company data, Yuanta Securities

Samsung E&A: sales share by business



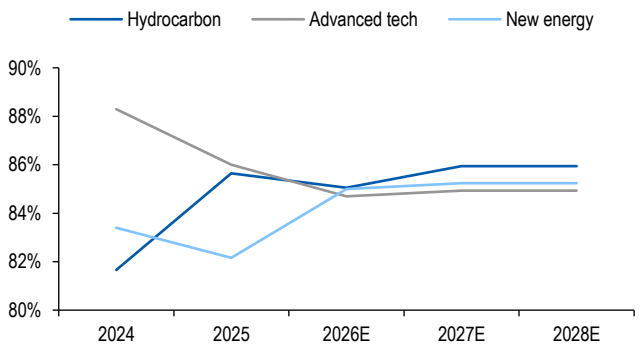
Source: company data, Yuanta Securities

Samsung E&A: sales and OPM



Source: company data, Yuanta Securities

Samsung E&A: cost-to-sales ratio by business



Source: company data, Yuanta Securities

Samsung E&A (028050 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**9,967**	**9,029**	**10,787**	**13,122**	**14,774**
Cost of sales	8,457	7,695	9,161	11,205	12,619
Gross profit	1,509	1,334	1,627	1,917	2,155
SG&A	538	542	609	698	776
Operating profit	**972**	**792**	**1,017**	**1,219**	**1,380**
EBITDA	1,041	874	1,104	1,298	1,452
Non-operating profit	-68	38	-37	38	80
Forex gains	84	-44	22	0	0
Net interest income	44	105	103	136	170
Equity-method gains	7	19	1	22	23
Other	-203	-41	-163	-120	-113
Net prof before income tax	904	830	980	1,257	1,459
Income tax	265	182	219	279	323
Net profit from continuing ops	639	648	761	978	1,136
Net profit from discontinued ops	0	0	0	0	0
Net profit	639	648	761	978	1,136
NP for controlling interest	**757**	**617**	**735**	**945**	**1,094**
Total comprehensive income	598	698	845	978	1,136
Total comprehensive income, CI	759	683	842	980	1,138

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**7,942**	**7,659**	**9,129**	**11,139**	**13,021**
Cash & cash equivalents	2,596	862	1,449	1,953	2,727
Accounts receivables & other	3,809	3,301	3,730	4,461	4,975
Inventory	0	0	0	0	0
Non-current assets	2,071	2,380	2,389	2,436	2,483
Tangible assets	443	507	527	538	555
Investment in affiliates	223	271	306	366	412
Other investment assets	97	113	89	92	94
Total assets	**10,013**	**10,040**	**11,518**	**13,575**	**15,503**
Current liabilities	5,871	5,259	6,013	7,178	8,072
Accounts payable & other	4,636	4,383	4,952	5,923	6,668
ST financial liabilities	104	0	72	72	72
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	246	335	361	430	483
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**6,118**	**5,593**	**6,374**	**7,607**	**8,555**
Equity, controlling interest	4,232	4,741	5,417	6,207	7,146
Paid-in capital	980	980	980	980	980
Capital surplus	-22	-67	-67	-67	-67
Retained earnings	3,187	3,675	4,258	5,048	5,987
Equity, non-controlling interest	-336	-295	-273	-239	-197
Total equity	**3,896**	**4,446**	**5,144**	**5,967**	**6,949**
Net debt	**-2,661**	**-2,660**	**-3,426**	**-4,334**	**-5,418**
Total debt	466	325	422	489	540

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**1,636**	**254**	**904**	**976**	**1,226**
Net profit	639	648	761	978	1,136
Depreciation & amortization	43	47	51	52	53
Forex gains	-126	47	-10	0	0
Affiliate investment gains	-7	-19	-1	-22	-23
Increase in net working cap	730	-517	-240	-388	-290
Other	356	48	343	356	350
Investing cash flow	**-50**	**-1,709**	**-369**	**-596**	**-480**
Investment	-19	-56	-22	-63	-48
Increase in tangible assets	-43	-53	-59	-63	-71
Decrease in tangible assets	1	2	1	0	0
Other	11	-1,602	-289	-470	-361
Financing cash flow	**-30**	**-264**	**-141**	**-88**	**-104**
ST financial liabilities	315	-148	111	67	51
Debenture/LT financial liabilities	3	7	-14	0	0
Equity	0	-45	0	0	0
Cash dividend	0	-129	-169	-155	-155
Other cash flow	-348	52	-68	0	0
Consolidation adj and other	124	-15	192	213	132
Increase in cash & equivalents	**1,681**	**-1,734**	**587**	**505**	**774**
Beginning cash & equivalents	915	2,596	862	1,449	1,953
Ending cash & equivalents	2,596	862	1,449	1,953	2,727
NOPLAT	972	792	**1,017**	**1,219**	**1,380**
FCF	**1,593**	**201**	**845**	**913**	**1,155**

Valuation

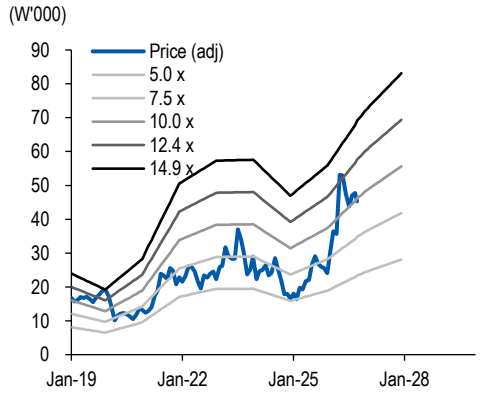
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	3,862	3,150	3,749	4,819	5,581
BPS (won)	21,591	24,187	27,637	31,667	36,459
EBITDA/shr (won)	5,311	4,460	5,635	6,623	7,410
SPS (won)	50,850	46,065	55,037	66,951	75,379
DPS (won)	660	790	790	790	790
P/E (x)	**6.0**	**7.3**	**11.3**	**8.8**	**7.6**
P/B (x)	**1.1**	**1.0**	**1.5**	**1.3**	**1.2**
EV/EBITDA (x)	**1.5**	**1.8**	**4.1**	**2.8**	**1.8**
P/S (x)	**0.5**	**0.5**	**0.8**	**0.6**	**0.6**

Key financial data

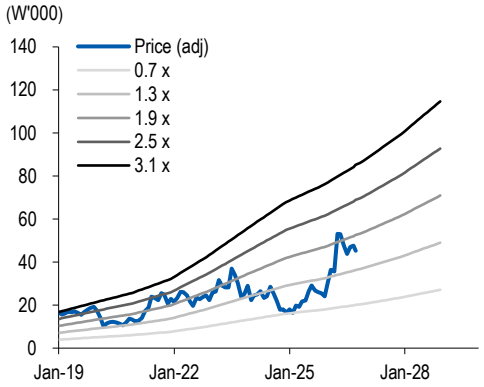
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-6.2**	**-9.4**	**19.5**	**21.6**	**12.6**
Operating profit (%YoY)	**-2.2**	**-18.5**	**28.4**	**19.9**	**13.1**
Net profit, CI (%YoY)	**0.4**	**-18.4**	**19.0**	**28.6**	**15.8**
Gross margin (%)	15.1	14.8	15.1	14.6	14.6
Operating margin (%)	**9.7**	**8.8**	**9.4**	**9.3**	**9.3**
Net margin, CI (%)	7.6	6.8	6.8	7.2	7.4
EBITDA margin (%)	10.4	9.7	10.2	9.9	9.8
ROIC (%)	171.3	466.8	245.1	369.6	630.3
ROA (%)	8.5	6.2	6.8	7.5	7.5
ROE (%)	**19.6**	**13.8**	**14.5**	**16.3**	**16.4**
Debt-to-equity (%)	157.0	125.8	123.9	127.5	123.1
Net debt-to-equity (%)	-62.9	-56.1	-63.2	-69.8	-75.8
OP/financing cost (x)	68.9	479.6	211.7	170.6	170.9

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

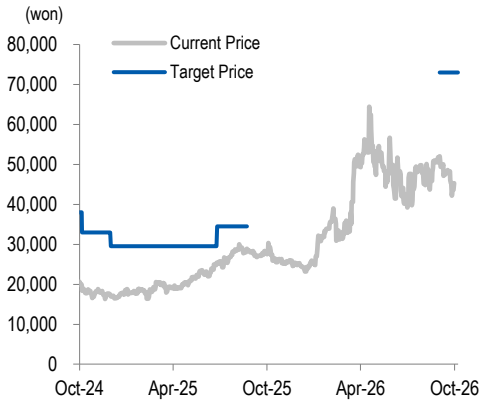
P/E band chart



P/B band chart



Samsung E&A (028050 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/20	BUY	73,000	1 yr		
2026/09/21	BUY	73,000	1 yr		
2026/05/19	Not Rated	-	1 yr		
	Analyst changed				
2025/07/15	BUY	34,500	1 yr	-21.08	-13.04
2024/12/20	BUY	29,500	1 yr	-32.85	-14.07
2024/10/25	BUY	33,000	1 yr	-45.99	-42.79
2024/06/25	BUY	38,000	1 yr	-35.79	-24.87

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 20, 2026

Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)